

SME Churn Diagnostic: price sensitivity is real but secondary — a targeted retention model can protect an estimated 10% of at-risk revenue

PowerCo | Steering Committee Update
Data Science Workstream — Progress Abstract

9.7%

of SME clients churned
over the 3-month observation window

0.72

model ROC-AUC (out-of-sample)
reliably ranks clients by churn risk

~1.3x

higher churn among clients with
above-average price increases

#1

churn driver: contract lifecycle
tenure & renewal timing, not price

WHAT WE FOUND

Price sensitivity exists — but is weak.

Statistical testing confirms churned clients experienced systematically different prices (6 of 7 price measures significant), but effect sizes are small.

Magnitude matters, not the increase itself.

Nearly all clients saw some price increase; churn concentrates among those with the largest increases, not any increase.

Lifecycle & value drive churn most.

Client tenure, time to renewal, margin profile and consumption patterns outrank every price variable in predictive importance.

WHAT IT MEANS FOR THE BUSINESS

A blanket discount would destroy value.

Since price is a secondary driver, cutting prices for everyone would sacrifice margin on ~90% of clients who were never going to leave.

Targeting beats discounting.

The model ranks all clients by churn probability. Concentrating a 20% retention offer on the highest-risk decile reaches ~2-3x more actual churners per euro spent than untargeted outreach.

Bottom-line impact.

Applied to the SME book, retaining even a quarter of the highest-risk, high-margin clients is projected to offset the full discount cost and protect net revenue.

RECOMMENDED NEXT STEPS

- 1 Pilot targeted retention: 20% offer to top-decile risk clients flagged by the model; hold out a control group to measure true uplift.
- 2 Set the intervention threshold with Finance: tune the model cut-off to the actual cost of an offer vs. value of a saved client.
- 3 Prioritise renewal-window outreach: churn risk peaks around contract renewal — align sales contact timing to it.
- 4 Enrich the data: add complaints, service interactions and competitor-switch data to raise model accuracy beyond 0.72 AUC.